This extra money helped, but it wasn't enough to pay for anything other than the necessities in her budget. When her car needed repairs or she had to go to the doctor, Martha paid for these expenses with her credit cards. When her credit cards reached the limit, she just got more cards.

Since she paid only the minimum payment when the credit card bills arrived, she was able to accumulate a lot of debt without having problems meeting her monthly obligations. In time, however, she had twenty credit cards in her possession with a total outstanding balance of $35,000. Her monthly payments for her credit cards were now $1,400. At first she was able to make these payments by obtaining more credit cards and paying her credit cards' bills with cash advances, but soon her outstanding debt load prevented her from qualifying for more credit cards.

Confronted with an ex-husband who had not yet resurfaced, exhaustion from working all day and night, and an inability to borrow any more money, Martha felt she had no choice but to file bankruptcy. It seemed the only way to end her problems. She saw an ad in the newspaper for an attorney that only charged $500. It seemed a small price to pay to relieve her of all her debts.

Many people have other options available besides bankruptcy, and should explore these options thoroughly. But others find they have no choice but to file a bankruptcy. A bankruptcy should be an action of last resort. Remember, ten years is a long time for a negative to remain on a credit report. Approximately 80 percent of people who file a bankruptcy choose Chapter 7, which essentially writes off all your unsecured debts (credit cards and revolving credit lines) with certain exceptions. Chapter 7 does not eliminate debts due to taxes, child support, alimony, student loans, court fines or judgments for fraud, personal injury, property damage, or other claims and penalties.